

EQUITY RESEARCH · COMPANY DEEP DIVE

Walmart Inc. (WMT.US)

Consumer Defensive · Discount Stores

Large Cap (>\$200B) · Report Date: July 06, 2026

Latest financials: Q1 FY2026 · Model data as of 2026-07-06

UNDERWEIGHT

Composite · Valuation: SELL

Target \$84.58 · -23.2% upside

Price \$110.08

INVESTMENT HIGHLIGHTS

- **SELL** — blended target \$84.58 (-23.2% vs \$110.08); DCF 38% + Comps 62% valuation after outlier checks.
- Modest revenue growth; compressed margins; strong roe; positive fcf generation
- Analyst consensus excluded from blend (Analyst consensus lags / diverges >35% from comps).

MULTI-PILLAR INVESTMENT SIGNAL

Pillar	Rating / Signal	Key Metric	Wt
Valuation	SELL	Blended PT \$84.58	45%
FSA	Stable	Health +0.00 · Stable	20%
Technical	BULLISH	Bullish	20%
Quantitative	POSITIVE	Score +0.45 · 12m +13%	15%
Composite	UNDERWEIGHT	Score -0.28 · 50% confluence	—

Valuation rich but trend improving — wait for confirmation.

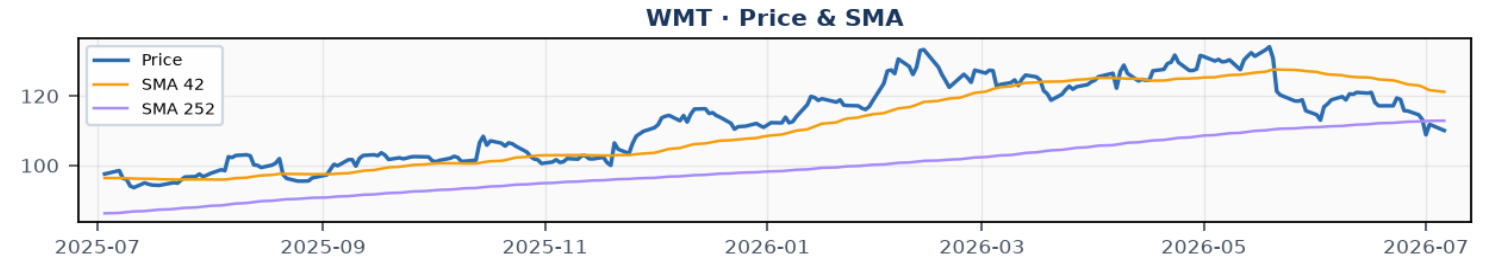
INVESTMENT THESIS / EXECUTIVE SUMMARY

Walmart Inc. (WMT) — Consumer Defensive. Walmart Inc. engages in the operation of retail and wholesale stores and clubs, ecommerce websites, and mobile applications worldwide. The company operates... **SELL** rating; blended target \$84.58. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	\$876.03B	Shares Out.	7958.1M
52-Week Range	\$94.23 – \$135.16	P/E (TTM)	38.8x
P/B	9.3x	Beta	0.60
Avg Volume	21.65M	Analyst Rec.	Buy
Revenue (TTM)	\$725.30B	Rev Growth	+7.3%
Op. Margin	4.2%	FCF (TTM)	\$14.92B
Gross Margin	25.0%	ROE	24.1%
EV/EBITDA	21.4x	Debt/Equity	74.8%
EPS (TTM)	\$2.84	Div Yield	89.0%

PRICE TREND · SMA 42 / 252



FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; A = actual, E = forecast)

Metric	FY 2025A	FY 2026A	FY 2027E	FY 2028E	FY 2029E
Revenue (\$M)	680,985	713,163	765,224	810,066	849,370
Revenue Growth (%)	N/A	4.7%	7.3%	5.9%	4.9%
Net Income (\$M)	19,436	21,893	23,491	24,868	26,074
Gross Margin (%)	24.9%	24.9%	25.0%	25.0%	25.0%
Net Margin (%)	2.9%	3.1%	3.1%	3.1%	3.1%
EPS (\$)	2.44	2.75	2.95	3.12	3.28
P/E (x)	45.07	40.01	37.29	35.23	33.60

TECHNICAL & QUANTITATIVE ANALYSIS

Metric	Value	Notes	Metric	Value	Notes
SMA (42d)	\$121.21	Short-term trend	12m Momentum	+12.8%	
SMA (252d)	\$112.89	Long-term trend	3m Momentum	-13.0%	
RSI (14d)	25.0	Momentum oscillator	Ann. Volatility	21.8%	
Trend	Bullish		Sharpe Ratio	0.75	Rf=4%
Golden Cross (20d)	No		Max Drawdown	-25.7%	
Death Cross (20d)	No		Rel. Strength vs SPY	+65.9%	
TA Signal	BULLISH	Price above SMA42; SMA42 > SMA252; RSI 25 — oversol...	Quant Score	+0.45	POSITIVE
			SMA Backtest (ann.)	23.7%	B&H; 29.4%

VALUATION CROSS-CHECK · DCF (SIMON FCFE)

Valuation Method	Implied Price	vs. Current	Weight in Target	Notes	Item	Value
					Ke · Terminal g	7.50% · 4.00%
DCF (Simon FCFE)	\$81.93	-25.6%	38%	Included in blend	FCFE growth	12.00%
Comps — Blended (median of multiples + uplift anchors)	\$86.19	-21.7%	62%	Included in blend	Equity value	\$652.02B
					Implied price	\$81.93
					vs. current	-25.6%
Analyst consensus (Yahoo Finance)	\$138.59	+25.9%	0% (excluded)	Analyst consensus lags / diverges >35% from comps		
Blended target (weighted)	\$84.58	-23.2%	100%	DCF 38% + Comps 62%		

PEER COMPARISON · INDUSTRY CONTEXT

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
COST	Costco Wholesale Corpo	\$418.57B	47.5x	30.5x	3.0%	+21.5%
TGT	Target Corporation	\$56.84B	16.5x	9.0x	3.2%	+6.7%
DG	Dollar General Corpora	\$25.35B	16.3x	12.0x	3.6%	+3.4%
DLTR	Dollar Tree, Inc.	\$23.36B	19.5x	12.6x	6.5%	+7.2%
WMT*	Walmart Inc.	\$876.03B	38.8x	21.4x	3.1%	+7.3%

* Subject company. Commands premium p/e vs peers. Trends: Moderate revenue expansion (7.3% YoY); Defensive profile (β=0.60); Sector: Consumer Defensive | Industry: Discount Stores · Risks: Standard sector cyclicality and macro exposure Modest revenue growth; compressed margins; strong roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.